

BB&K FIVE INVESTOR PERSONALITY TYPES

The Adventurer. People who are willing to put it all on one bet and go for it because they have confidence. They are difficult to advise because they have their own ideas about investing. They are willing to take risks, and they are volatile clients from an investment counsel point of view.

The Celebrity. These people like to be where the action is. They are afraid of being left out. They really do not have their own ideas about investments. They may have their own ideas about other things in life, but not investing. As a result they are the best prey for maximum broker turnover.

The Individualist. These people tend to go their own way and are typified by the small businessperson or an independent professional, such as a lawyer, certified public accountant (CPA), or engineer. These are people who are trying to make their own decisions in life, carefully going about things, having a certain degree of confidence about them, but also being careful, methodical, and analytical. These are clients whom everyone is looking for—rational investors with whom the portfolio manager can talk sense.

The Guardian. Typically, as people get older and begin considering retirement, they approach this personality profile. They are careful and a little bit worried about their money. They recognize that they face a limited earning time span and have to preserve their assets. They are definitely not interested in volatility or excitement. Guardians lack confidence in their ability to forecast the future or to understand where to put money, so they look for guidance.

The Straight Arrow. These people are so well balanced, they cannot be placed in any specific quadrant, so they fall near the center. On average, this group of clients is the average investor, a relatively balanced composite of each of the other four investor types, and by implication a group willing to be exposed to medium amounts of risk.

Source: Thomas Bailard, David Biehl, and Ronald Kaiser, *Personal Money Management*, 5th ed. (Chicago: Science Research Associates, 1986).